META

Meta Platforms, Inc. (NASDAQ)

$709.33 [Mkt 16-Oct-26]

Market Cap: $1.81T [Mkt 16-Oct-26]

As-of: 16-Oct-2026 | Latest Filing: Q2 2026 (10-Q, filed 30-Jul-26) | Currency: USD

Attractiveness Score

Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 86

The best advertising business ever built: $59.4B ad revenue at ~80% gross margins, 3.6B daily actives, AI improving both volume and pricing. ROE ~33%. Reality Labs loses ~$4.6B/quarter and drags, but the Family of Apps funds it easily.

2. Recent Trend — 68

Top line is accelerating (+28% vs +22% prior year), but the mix is deteriorating: op margin compressed 43% to 31%, EPS fell 13% YoY and missed consensus by $1.01, and FCF collapsed 91% to $784M as capex doubled.

3. Forward Growth — 74

Consensus sees Q3 revenue +23.6% and FY26 EPS of $27.94, with FY27 EPS at $34.39. AI monetization backlog (WhatsApp, Threads, business agents, compute rentals) is real optionality. Near-term earnings growth is muted by the capex cycle.

4. Valuation — 72

DCF base $944 implies 33% upside at $709.33; reverse DCF prices in 6.35% CAGR, below our 6.6% bear case. NTM P/E 20.5x with PEG 0.97 is undemanding for 20%+ growth. The market prices the spend, not the returns.

5. Catalysts & Risk — 62

Q3 earnings Oct 21 is the near-term event; the stock is up 37% since July on AI optimism. Key risk is the capex payback narrative: Q3 FCF expected -$9.1B, 2027 FCF possibly deeply

negative. Regulatory/legal overhang persists ($2.4B charge in Q2).

Investment Thesis

- **The Ad Engine Has Never Been Stronger:** $59.4B ad revenue (+27%) with 14% impression growth and 12% pricing gains, both AI-driven. Family ARPP up 23.5% to $16.86 [Q2'26 10-Q]. The core business is a compounding machine.
- **The Market Prices the Spend, Not the Returns:** $31.1B quarterly capex nearly consumed all of operating cash flow. But the stock at $709.33 [Mkt 16-Oct-26] prices in 6.35% implied CAGR, below our 6.6% bear case. Pessimism is in the price.
- **Upside If AI Pays:** DCF base $944 implies 33% upside. WhatsApp paid messaging at a $2B+ run rate, Threads at 500M MAU, and MTIA custom silicon are monetization and margin levers the market is not paying for.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q2 2026)	$60.80B [Q2'26 10-Q]	+28.0% [Q2'26 10-Q]	Up
Ad Revenue (Q2 2026)	$59.36B [Q2'26 10-Q]	+27.5% [Q2'26 10-Q]	Up
Op Margin (Q2 2026)	30.9% [Q2'26 10-Q]	-12.1 pts [Q2'26 10-Q]	Down
Free Cash Flow (Q2 2026)	$0.78B [Q2'26 10-Q]	-90.8% [Q2'26 10-Q]	Down
Capex (Q2 2026)	$31.1B [Q2'26 10-Q]	+82.2% [Q2'26 10-Q]	Up
Family Daily Active People	3.60B [Q2'26 10-Q]	+3.4% [Q2'26 10-Q]	Up
FY2026 Capex Guide	$130-145B [Q2'26 10-Q]	~2x FY25 [Q2'26 10-Q]	Up

Historical Financial Trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$117.9B [10-K FY21]	$116.6B [10-K FY22]	$134.9B [10-K FY23]	$164.5B [10-K FY24]	$201.0B [10-K FY25]
Net Margin	33.4% [10-K FY21]	19.9% [10-K FY22]	29.0% [10-K FY23]	37.9% [10-K FY24]	30.1% [10-K FY25]
FCF Margin	64.7% [10-K FY21]	16.5% [10-K FY22]	32.7% [10-K FY23]	32.9% [10-K FY24]	22.9% [10-K FY25]

Valuation

Absolute (7/10)

P/E (fwd) 20.5x [Mkt 16-Oct-26]
DCF Base $944 [Mkt 16-Oct-26]
PEG 0.97 [Mkt 16-Oct-26]

DCF implies 33% upside. PEG below 1.0 suggests growth is underpriced for a 20%+ grower.

Versus Peers (6/8)

Mega-cap peer multiples not collected locally [n/a]
Screened vs ad-tech and hyperscaler comps

On absolute terms Meta screens cheaper than most mega-cap AI spenders.

Versus History (6/7)

P/E 25.9x TTM vs 20.5x NTM [Mkt 16-Oct-26]
Multiple compressed as earnings outran the price

Forward multiple is modest given revenue still compounding at 20%+.

Catalyst Timeline

21 Oct 2026 [Cons]
Q3 2026 Earnings (Two-Sided): Consensus $63.3B revenue, ~$6.6 EPS. Guide was $61-64B; stock rallied 37% since July, so the bar is high.

2026-2027 [Est]
Capex Payback Test (Two-Sided): FY26 guide $130-145B capex; Q3 capex est ~$41B with FCF est -$9.1B. Any 2027 acceleration without returns narrative tests enthusiasm.

2027 [Q2'26 call]
Monetization Backlog (Positive): Threads 500M

Top Risk Factors (Item 1A)

1. Capex Payback: FY2026 capex guide of $130-145B, ~2x FY25, collapsed quarterly FCF 91% to $784M. If AI returns do not materialize, the buildout permanently impairs the cash machine. [Q2'26 10-Q]

2. Reality Labs Drain: Reality Labs lost $4.62B in Q2 alone with cumulative losses approaching $90B. The metaverse bet remains a large, open-ended drain with no return timeline. [Q2'26 10-Q]

3. Regulatory Overhang: A $2.4B legal-proceedings charge (linked to youth-safety litigation) plus $1.18B

> MAU, paid messaging on WhatsApp at a $2B+ run rate; click-to-message ads ~$10B.

What Would Change Our Score

A Q3 beat with strong Q4 guidance and a credible capex-payback narrative would push the bull case ($1,237) into play. A weak print or 2027 capex acceleration without returns evidence would cut Trend and Forward Growth sharply.

in severance hit Q2. Regulatory and litigation exposure remains a recurring wildcard. [Q2'26 10-Q]

Forward Growth Drivers

- AI-driven ad improvements: impressions +14%, average price per ad +12%, Family ARPP +23.5% to $16.86 [Q2'26 call]
- Family of Apps scale: 3.60B daily active people; WhatsApp/Threads monetization backlog barely tapped [Q2'26 call]
- Custom silicon (MTIA) roadmap stripping merchant GPU margin out of the inference cost stack [Q2'26 call]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used operating margin and FCF trajectory qualitatively.
- Long-run multiple history not collected locally; current TTM/NTM multiples only, tagged [Mkt 16-Oct-26].
- Mega-cap peer multiples not collected locally; peer comparison limited.

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